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Question

ALSOL is a microcredit program in Mexico that makes small loans to female entrepreneurs who lack the collateral and credit history to secure financing from conventional banks. Borrowers use their business proceeds to repay loans in equal weekly installments and incur no penalty for missed payments other than lack of access to larger loans. Economists Gustavo Barboza and Sandra Trejos analyzed ALSOL data and found that rural borrowers, who mostly make and sell handicrafts, miss payments more often than urban borrowers do, partly because they sell their goods less frequently than they could. Barboza and Trejos claim that this behavior reflects strategic decisions that enable rural women to increase their profits per unit sold.

Which finding, if true, would most directly support Barboza and Trejos's claim?

Answer

- A. Many marketplaces require entrepreneurs to pay marketplace operators a fixed percentage of each day's proceeds in exchange for permission to sell goods there.
- B. Rural entrepreneurs can typically sell their goods for higher prices in cities than in their home areas, but the number of people selling competing goods tends to be higher in cities.
- C. Due to the lower costs they incur, rural entrepreneurs tend to require smaller initial loans than urban entrepreneurs do.
- D. The cost to rural entrepreneurs to bring their goods to towns with marketplaces is high but largely independent of the number of goods they bring.